

Amount in Crores

Comparable Company Valuation

Market Data							Financials			Valuation		
Company	Ticker	Share Price	Share Outstanding	Equity Value	Net Debt	Enterprise Value	Revenue	EBITDA	Net Income	EV/Revenue	EV/EBITDA	P/E
Dr Reddy's Labs		1,335	83.47	1,11,416	3,394	1,15,218	34,682	9,488	5,523	3.32x	12.14x	20.86x
Sun Pharma.Inds.		1,734	239.93	4,16,039	-6,117	4,09,002	56,809	19,619	10,953	2.03x	5.87x	10.52x
Divi's Lab.		6,487	26.55	1,72,221	-3,625	1,69,029	10,314	3,831	2,479	11.17x	30.08x	46.48x
Torrent Pharma.		4,197	33.84	1,42,021	2,243	1,44,157	12,742	4,072	2,272	9.04x	28.30x	50.71x
Lupin		2,334	45.72	1,06,706	3,075	1,09,878	26,151	7,992	4,669	4.41x	14.42x	24.68x
Cipla		1,309	80.78	1,05,757	-332	1,05,426	28,351	7,489	4,533	4.06x	15.39x	25.42x
Zydus Lifesci.		943	100.62	94,880	6,679	1,01,736	26,089	8,502	5,026	4.42x	13.55x	22.92x
Mankind Pharma		2,291	41.28	94,585	7,814	1,02,401	13,914	3,878	1,803	8.28x	29.71x	63.89x
Aurobindo Pharma		1,433	58.08	83,223	-441	82,126	33,182	7,366	3,485	3.47x	15.64x	33.06x
Glenmark Pharma.		2,332	28.22	65,809	-481	64,343	16,468	4,654	1,065	7.00x	24.76x	108.18x
High										11.17x	30.08x	108.18x
75th Percentile										7.96x	27.41x	49.65x
Average										5.72x	18.98x	40.67x
Median										4.41x	15.51x	29.24x
25th Percentile										3.62x	13.77x	23.36x
Low										2.03x	5.87x	10.52x

Dr Reddy's Labs Company Valuation										EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value										1,52,986.98	1,47,191.94	1,64,877.52
Net Debt										3,393.80	3,393.80	3,393.80
Implied Market Value										1,49,593.18	1,43,798.14	1,61,483.72
Shares Outstanding										83.47	83.47	83.47
Implied Value per Share										1,792.18	1,722.75	1,934.63

Source: Screener.in

Undervalued Undervalued Undervalued